Unit 1. Strategic Management

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Unit 1. Strategic Management

LEARNING OBJECTIVES

1. To understand what strategic decisions mean.
2. To identify the critical elements of a successful strategy
3. To understand the deep interrelations among strategy levels and business functions.
4. To comprehend the rational and emergent process of strategic management.

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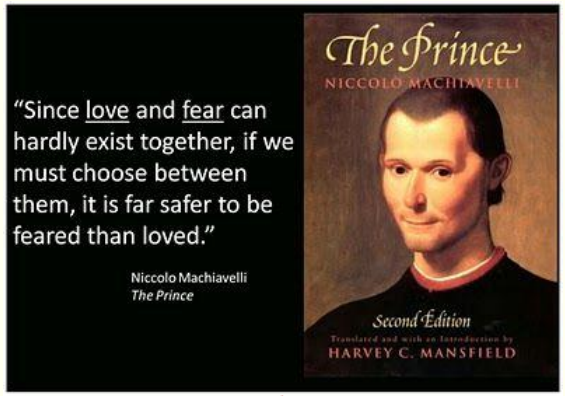
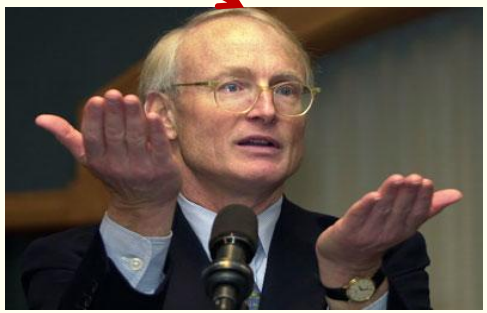
1.1. Strategy concept



ORIGINS of STRATEGY



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1.1. Strategy concept

Epistemology of STRATEGY

- Military origins: "**stratós**", meaning "army", and "**ēgós**", which means "leadership"→ ***The General who manages an army***

- The first to use the word "strategy" in the Business Administration context were Von Neumann and Morgenstern (1944), who applied military theories

- During **1960s** became widespread by research undertaken by ***Harvard Business School*** and consultant *The Boston Consulting Group.*
- **Articulating publications** (books): Porter (1980) and Porter (1985)

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1.1. Strategy concept

What's strategy?

- It deals with being successful in a sustained way. No luck!
- <u>Strategic decisions imply:</u>
  - Facing Uncertainty (future effects are unknown)
  - Taking Complex decisions (causes, effects, interrelationships, lack of info, etc.)
  - Mistakes are expensive (and even company's survival!)

Taylor Swift Tour in the Bernabeu Stadium 2024

"The determination of the long-run goals and objectives of an Enterprise and the adoption of courses of action and the allocation of resources necessary for carrying these goals"

Source: Alfred Chandler (1962)

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1.1. Strategy concept

What's strategy?

THE FIRM
Goals and values
Resources and Capabilities
Structure
People

↔

STRATEGY

↔

THE ENVIRONMENT
Competitors
Customers
Suppliers
National Inst

Source: Based on Grant (2015)

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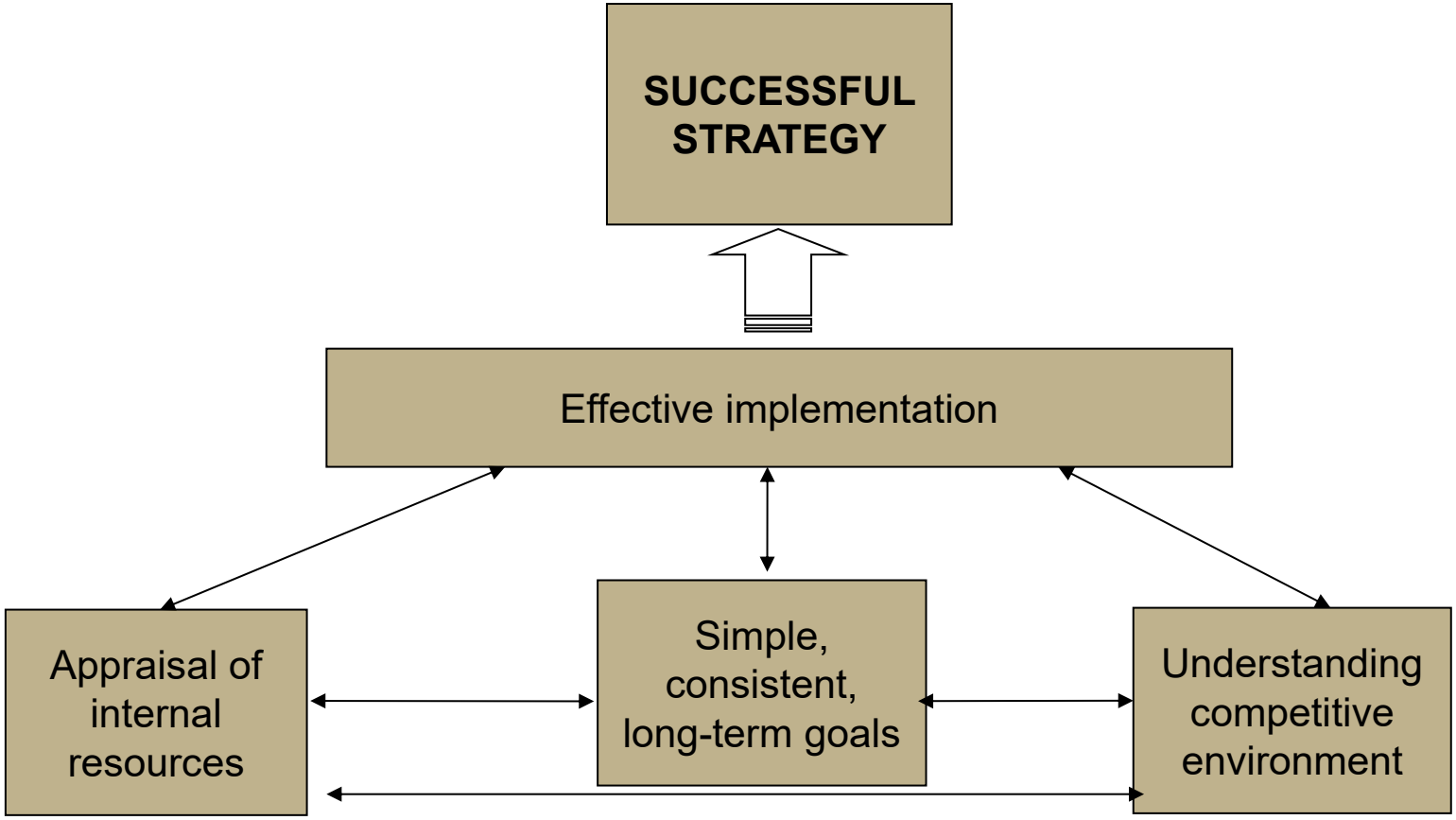
1.1. Strategy Concept

DEFINITION OF STRATEGY: KEY ELEMENTS



Source: Grant (2015)

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Illustration 1.1

THE ART OF WAR

- The first treatise on the art of warfare was written in China in 360 BC by Sun Tzu.
- They are strategies to bear in mind at the war, all with the sole objective of winning

Source: «The art of war », TZU, S., Oxford University Press, Oxford, 1963.

Apply The Art of War ideas to the four elements of a successful strategy (Grant, 2015)?

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1.1. Strategy Concept

LEVELS OF STRATEGY

- Firms that work in wide range of fields and businesses cannot develop a single strategy for all of them.Three major levels of strategy are defined :

Corporate Strategy

- Set of activities /businesses to compete (company's scope)
- Vision as a unit of competition: Flourising sinergies
- **Contents**: firm-environment fit, looking for value-added opportunities: Internationaliz, M&A, Alliances, Diversification..

Competitive Strategy

- How to compete successfully in a certain business
- Multi-business firms: Strategic Business Units (SBU)
- **Contents:** sustained competitive advantage, building and exploiting firm's resources, etc.: Cost leadership, Produc Dif.

Functional Strategy

- Resource utilization by functional areas
- Contribution to competitive and corporate strategies
- **Contents:** Operations Manag, Human Resource Manag, Marketing Manag, Financial Manag, R&D Manag, etc .

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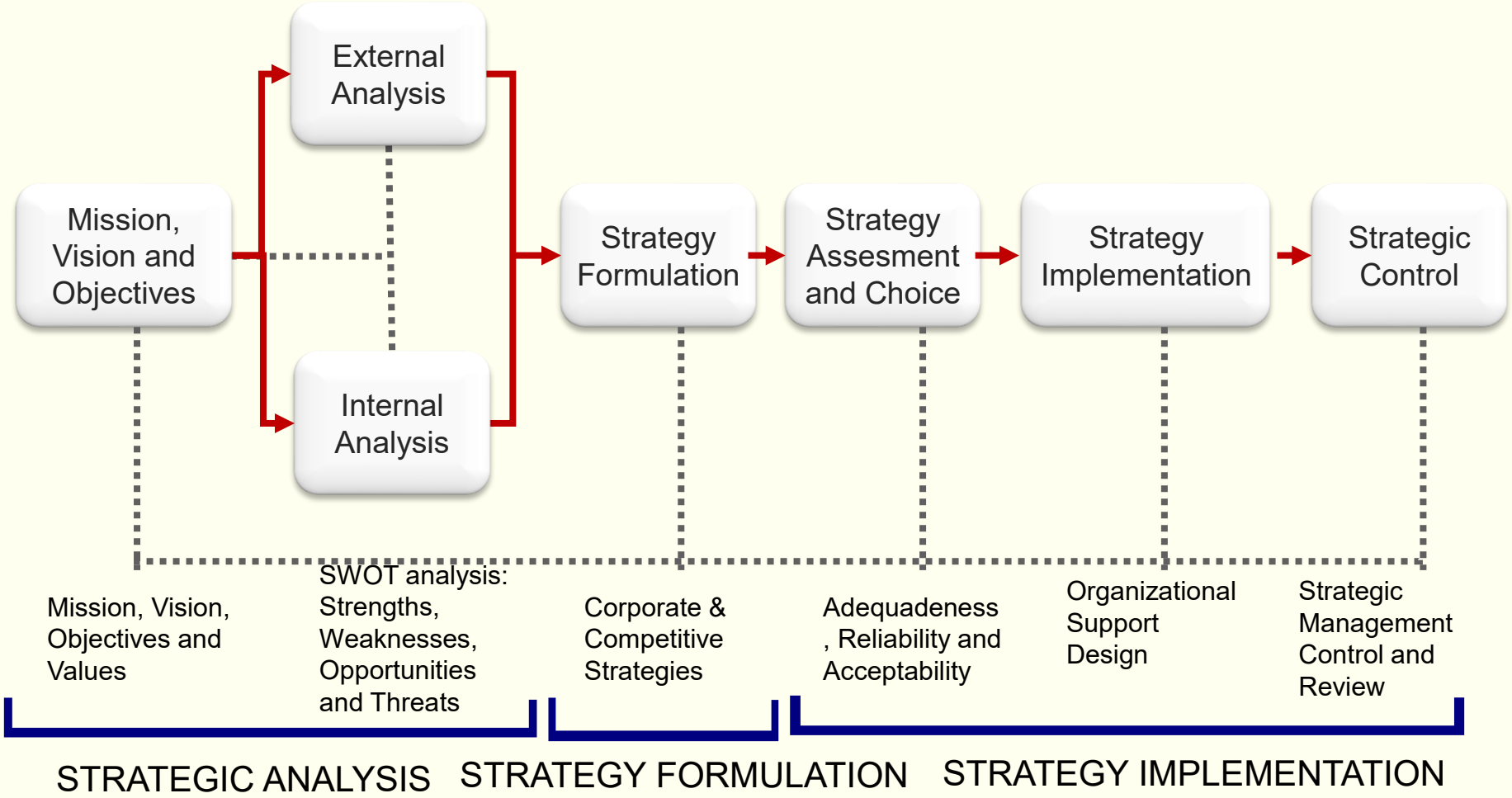
1.2. Strategic Management Process

DELIBERATED-RATIONAL PROCESS



Source: Guerras & Navas (2020)

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1.2. Strategic Management Process

EMERGENT STRATEGY PROCESS

Advantages of a Deliberated-Rational Process

- Managerial Explicit process
- Clear and quantitative strategic objectives and evaluation criteria
- In theory, the “best” possible strategy will be taken

BUT Strategic decisions are not uniform: They depend on:

- Limited Rationality & Personal features of Key Actors: Directors, CEOs and Top Management Team
- Features of Strategy: Uncertainty, Complexity, Paradoxes,… and Learning Process
- Changing context: both internal (the organization) and environment (general, industry..)
- In the end: Political Process, even Luck-intuition?

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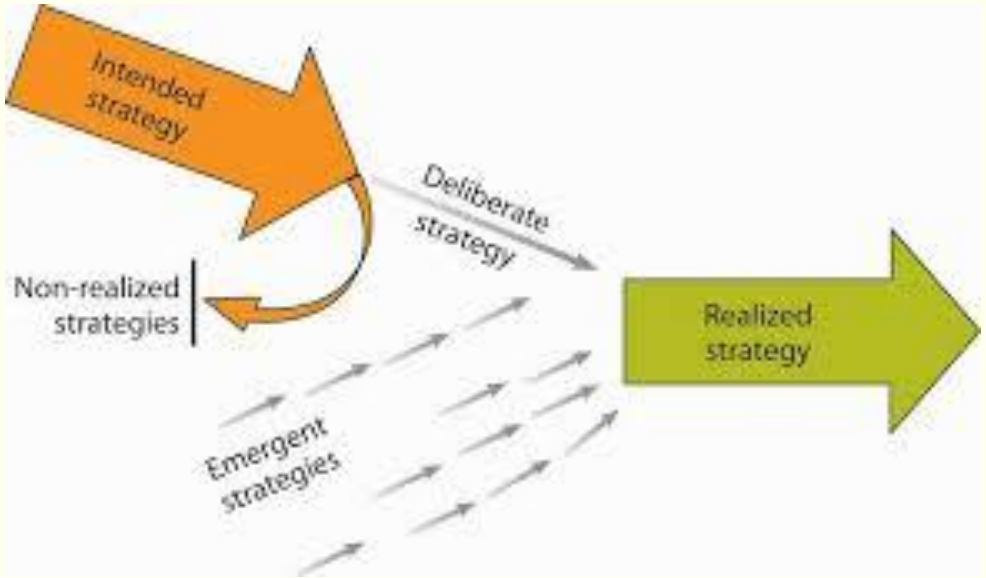
1.2. Strategic Management Process

INTEGRATIVE PROCESS

IN CONCLUSION: AN INTEGRATIVE PROCESS

- Strategic Management is Intended + Emergent
- Subject to Personal Cognitive Restrictions, Features, Desires and Preferences & Environmental Dynamism



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1.2. Strategic Management Process

STRATEGIC MANAGEMENT & RESPONSIBILITIES: DIRECTORS, CEO, TMT AND SUPPORTING STAFF

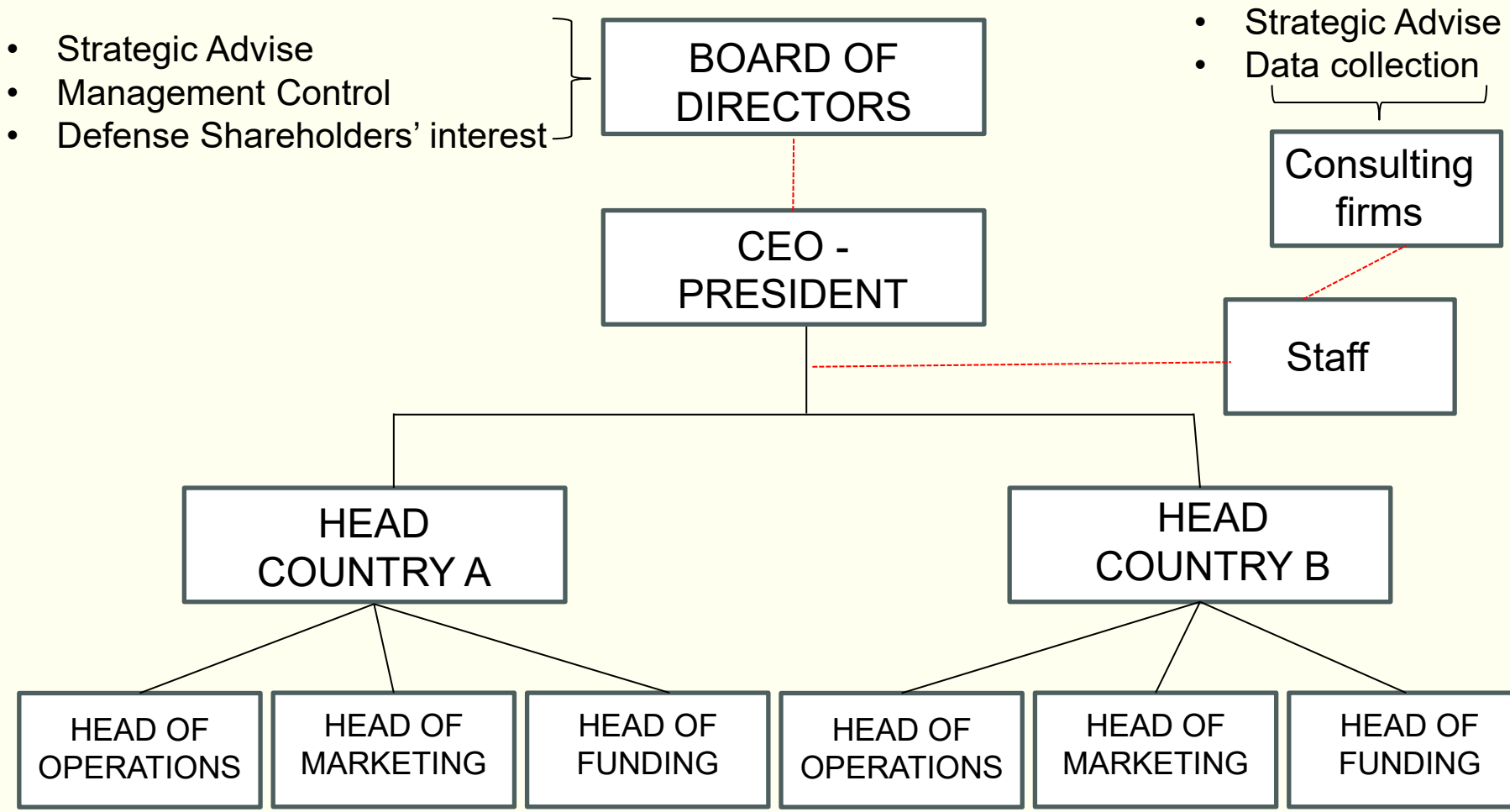

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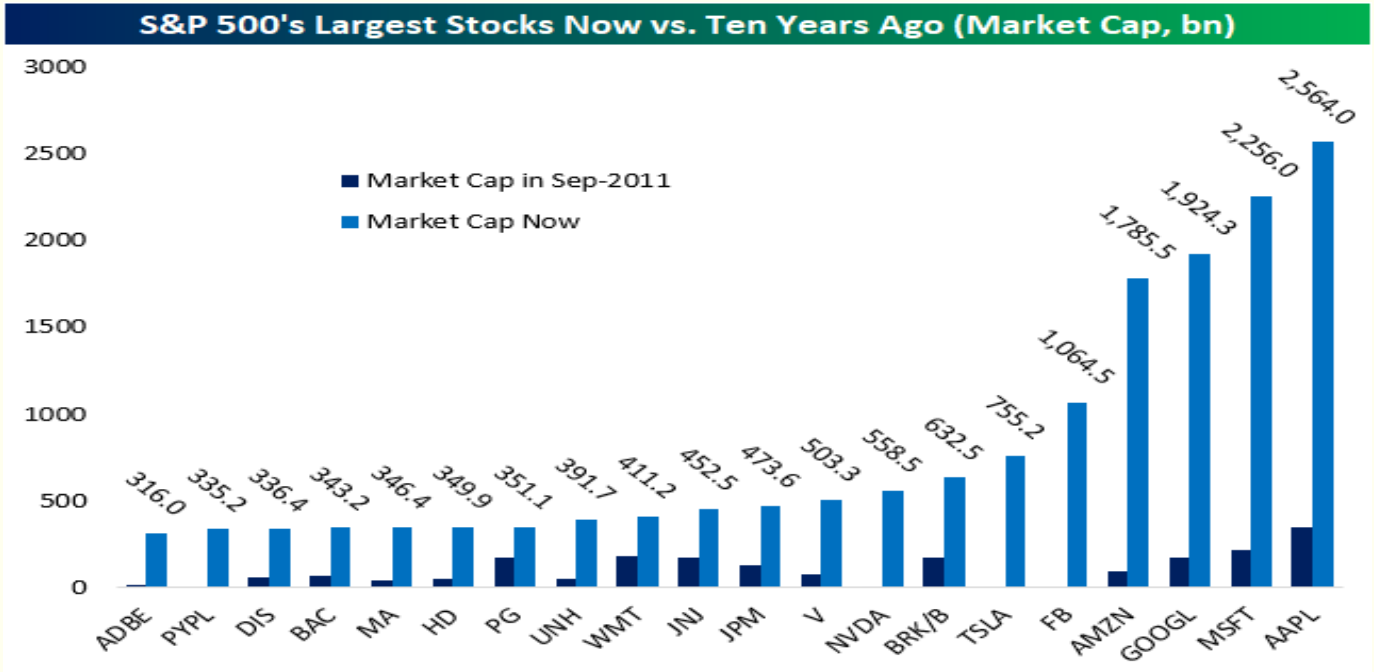
Illustration 1.2.

EXPLORING FIRM'S SUSTAINED SUCCESS



Choose 3 companies from 3 different industries (S&P 500)

1. Give figures about success (2023 & 2013)
2. Explore it possible sources

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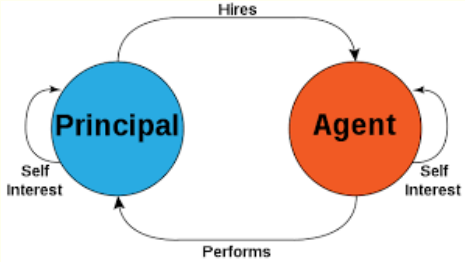
1.3. SM as a Field of Study



ACADEMIC TRADITIONS OF SM

- Academic Sources of Strategic Management:
  - Economics (Agency Theory, and Transaction Cost Economics)
  - Industrial Organization
  - Strategic Thinking
  - Organization Studies
  - Behavioural Sciences (Industrial Psychology)

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1.3. SM as a Field of Study

STRATEGIC MANAGEMENT ACADEMIC DISCIPLINE

- SM as an academic discipline emerges during the 60s of the 20th C.
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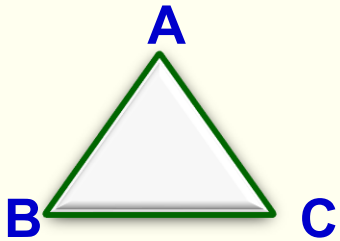
- **Pioneers**: Chandler (1962), Andrews (1965) y Ansoff (1965)

BCG
THE BOSTON CONSULTING GROUP

Boston Consulting Group (1963)



- **ABC** Model (*Academics*, *Business*, *Consultants*)
  - ***Advantages***: synergies between academy and business practice
  - ***Disadvantages***: terminological jungle, lack of coherence in the field

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Further reading

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